

INTERNAL MEMORANDUM

TO: Michael Rodriguez, CFO

FROM: Finance Team

DATE: October 22, 2025

RE: Compensation Costs and Liabilities Analysis

This memo analyzes Robotix's compensation structure and associated financial implications.

Compensation Cost Analysis

- Total compensation costs of \$37.6M represent 89.6% of annual revenue (\$42M)
- Breakdown of costs:
 - Base payroll: \$30.45M (72.5% of revenue)
 - Payroll taxes: \$3.35M (8.0% of revenue)
 - Benefits: \$3.83M (9.1% of revenue)
- Per employee metrics:
 - Average salary: \$105,000
 - Average total comp: \$129,750

Key Liability Balances

- Accrued wages: \$1.27M (semi-monthly payroll)
 - Accrued bonuses: \$915K (estimated year-end)
 - Accrued benefits: \$319K (monthly benefits premiums)
 - Payroll tax liabilities: \$279K (quarterly payments)
- Total current liabilities: \$2.78M

Trends and Risk Factors

- Compensation costs growing faster than revenue (12% vs 8% YoY)
- Benefits costs increased 15% due to healthcare premium hikes
- High concentration of engineering talent driving up average salaries
- Limited ability to reduce costs without impacting retention

Recommendations

1. Implement quarterly compensation reviews to better track and forecast costs
2. Consider restructuring benefits package to control rising healthcare costs
3. Develop more robust accrual models for bonus calculations
4. Review tax planning strategies to optimize payroll tax burden
5. Evaluate compensation benchmarking against industry standards

Next Steps

Finance team will prepare detailed Q4 forecasts and 2026 budgeting scenarios by November 15. We recommend scheduling a deep-dive review of benefits costs with HR to identify potential savings.

Please let us know if you need any additional analysis or clarification.